

	Dual Momentum Sector Rotation	S&P 500	Sector Equal Weight	Equal Weight/ Aggregate Bond*
Annual return	17.93	10.49	11.45	10.17
Annual std dev	12.24	14.91	13.36	10.39
Annual Sharpe	1.13	0.48	0.60	0.66
Max drawdown	-17.21	-50.95	-47.50	-37.83

*77% Equal Weight/23% Aggregate Bond

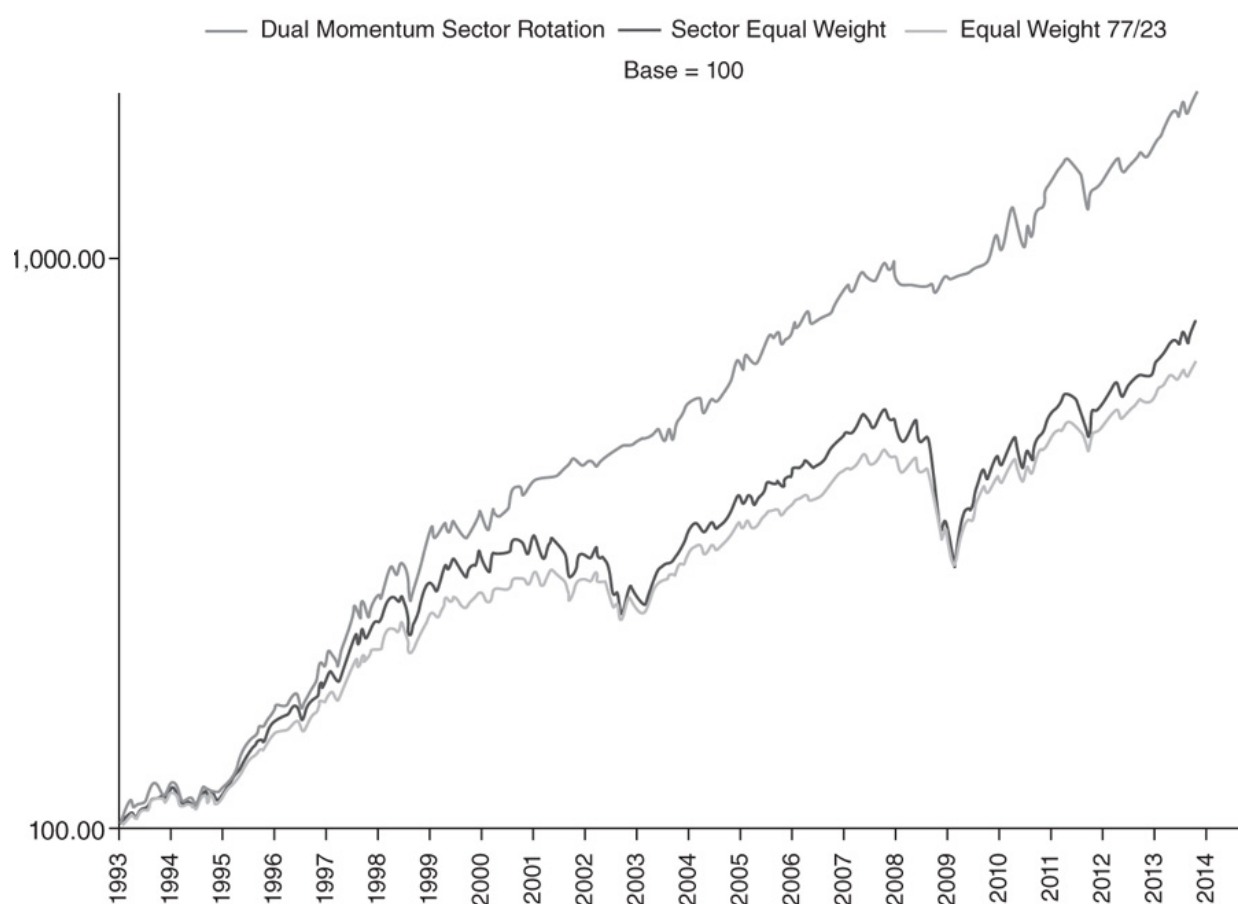


Figure 9.3 Dual Momentum Sector Rotation, 1993–2013

Figure 9.4 shows the contributions to DMSR from both relative and absolute momentum. We see clearly that absolute momentum offers both a higher return and a substantially lower drawdown than relative momentum. Dual momentum reflects the higher returns and drawdown reduction of